COMMENTARY

On behalf of the Board of Directors, I hereby present the Kenya Airways PLC financial results for the financial year ended 31 December 2019.

Revenues:

The Group's total revenue increased by 12.4% from Kshs 114,185 million in 2018 to Kshs. 128,317 million in 2019. The growth was due to improved passenger, cargo, ancillaries, and other revenue streams, mainly due to expansion of the Kenya Airways network.

In the year under review, the Airline invested in new routes to the network; Geneva, Rome, and Malindi. This expansion resulted to a 6.7% increase in passenger numbers to hit record 5.1 million passengers.

Passenger revenue grew by 8.9% driven by route expansion (full year of New York operations, launch of Rome, Geneva and Malindi). Capacity deployed in Available Seat Kilometres (ASKs) increased by 15% however, the Cabin factor registered a minimal decline of 0.6 points to 77%. Cargo tonnage increased by 6.3% from 64,238 tonnes to 68,264 tonnes.

Costs:

The Group saw a 12.4 % increase in operating costs, driven by the increase in capacity deployed and an increase in fleet ownership costs attributed to the return of two Boeing 787 aircraft that had been subleased to Oman Air.

The Airline benefitted from the reduced global fuel prices and maintained low fuel costs through its hedging program.

Based on the above revenue and cost dynamics, the Group recorded an Operating Loss Margin of 0.7%. The Group recorded a net loss of Kshs 12,985 million compared to Kshs 7,558 million reported in year 2018. Some of the contributors of the loss include the adoption of IFRS 16 and increase in operating costs associated with a 15% increase in capacity deployed to offer increased connectivity between city pairs and investment in new routes.

IFRS 16 *Leases* Adoption:

The Group implemented the new lease accounting standard, IFRS 16, with effect from January 1, 2019 on a modified retrospective basis. IFRS 16 requires operating leases which were previously off-balance sheet to be recognised as assets in the balance sheet by determining the value of the right of use. Equally the lease rentals which were previously expensed are now recognised in the balance sheet as liabilities by determining the value of such payments over the life of the lease period. The adoption of this new accounting standard resulted in the following:

1. Revenue – The aircraft sub-lease income and associated costs are now recognised separately and not offset against each other as was the case in the past.
2. Balance Sheet – Introduction of Right of Use Assets and Liabilities recognising the leased aircraft as assets and amount payable to lessors as a long-term liability in the balance sheet.

3. Fleet ownership cost – Leased assets are recognised as assets and amortised over the lease period compared to the prior practice where the lease rental payments constituted the fleet ownership cost.
4. Interest Expense – Introduction of implied interest on the right of use liability over the duration of the lease agreements which is a charge through the P&L.

See "*Impact of initial application of IFRS 16 Leases* " in the annual financial statements for more details.

Outlook:

The global economic and geopolitical context is uncertain particularly because of the current crisis occasioned by the Covid-19 pandemic. As a result of this crisis, the Airline suspended most of its operation from 25th March 2020. The crisis has significantly affected economies around the world and the aviation sector in particular. We estimate that it will take at least a year to gain the confidence of the travellers and start recovering the travel demand. We however must look at the bright side of this crisis and the opportunity it presents us to recalibrate and reset our business in order to adopt measures that will future proof our Airline.

On behalf of the Board of Directors, I take this opportunity to express my sincere appreciation to our customers, the Government of Kenya, shareholders, management, staff, suppliers and other stakeholders for their continued support.

Yours sincerely,

Michael Joseph

Chairman

26th May 2020

KENYA AIRWAYS PLC
SUMMARY AUDITED GROUP RESULTS
FOR THE YEAR ENDED 31 DECEMBER 2019

SUMMARY CONSOLIDATED STATEMENT OF PROFIT OR LOSS

	31 December 2019 KShs M	31 December 2018 KShs M
Total income	128,317	114,185
Total operating costs	(129,170)	(114,868)
Operating loss	**(853)**	**(683)**
Other costs	(12,152)	(6,950)
Interest income	30	45
Loss before income tax	**(12,975)**	**(7,588)**
Income tax (expense)/credit	(10)	30
Loss for the year	**(12,985)**	**(7,558)**
Other comprehensive income		
Items that will not be reclassified subsequently to profit or loss		
Gain on property valuation	2,468	-
Deferred tax on revaluation	(740)	-
	1,728	-
Items that may be reclassified subsequently to profit or loss		
Gain on hedged exchange differences- Borrowings	1,289	2,045
Gain on hedged exchange differences- Lease liabilities	676	-
Changes in fair values relating to fuel hedges	435	(435)
	2,400	1,610
Total comprehensive loss for the year	**(8,857)**	**(5,948)**
Loss for the year is attributable to:		
Owners of the company	**(12,986)**	**(7,554)**
Non-controlling interest	**1**	(4)
	(12,985)	**(7,558)**
Total comprehensive loss is attributable to:		
Owners of the company	**(8,858)**	**(5,944)**
Non-controlling interest	**1**	(4)
Total comprehensive loss for the year	**(8,857)**	**(5,948)**
Basic loss per share(Kshs)	**(2.23)**	**(1.30)**

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	31 December 2019	31 December 2018
	KShs M	KShs M
Assets		
Non-current assets	170,013	108,658
Current assets	25,660	27,976
TOTAL ASSETS	**195,673**	**136,634**
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	5,824	5,824
Share premium	49,223	49,223
Mandatory convertible note	9,630	9,630
Treasury shares	(142)	(142)
Reserves	(82,481)	(67,073)
Equity attributable to owners	**(17,946)**	**(2,538)**
Non-controlling interest	50	49
TOTAL EQUITY	**(17,896)**	**(2,489)**
Liabilities		
Non - current liabilities	145,754	9,611
Current liabilities	67,815	129,512
	213,569	**139,123**
TOTAL EQUITY AND LIABILITIES	**195,673**	**136,634**

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital KShs M	Share premium KShs M	Mandatory Convertible Note KShs M	Treasury Shares KShs M	Revaluation surplus KShs M	Fuel hedging KShs M	Cashflow hedging KShs M	Reserves KShs M	Non controlling Interest KShs M	Total Equity KShs M
As at 1 January 2018	**5,824**	**49,221**	**9,630**	**(142)**	**4,911**	**-**	**(12,906)**	**(53,134)**	**53**	**3,457**
Issue of ord. shares through conversion of mandatory converible note	-	2	-	-	-		-	-	-	2
Total comprehensive loss for the year	-	-	-	-	-	(435)	2,045	(7,554)	(4)	(5,948)
At 31 December 2018	**5,824**	**49,223**	**9,630**	**(142)**	**4,911**	**(435)**	**(10,861)**	**(60,688)**	**49**	**(2,489)**
As at 1 January 2019 - Previously reported	**5,824**	**49,223**	**9,630**	**(142)**	**4,911**	**(435)**	**(10,861)**	**(60,688)**	**49**	**(2,489)**
Effect of change in Accounting policy for IFRS 16	-	-	-	-	-	-	-	(6,550)	-	(6,550)
As at 1 January 2019 - Restated	5,824	49,223	9,630	(142)	4,911	(435)	(10,861)	(67,238)	49	(9,039)
Total comprehensive loss for the year	-	-	-	-	1,728	435	1,965	(12,986)	1	(8,857)
At 31 December 2019	**5,824**	**49,223**	**9,630**	**(142)**	**6,639**	**-**	**(8,896)**	**(80,224)**	**50**	**(17,896)**

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS

	31 December 2019 KShs'M	31 December 2018 KShs'M
Cashflows from operating activities		
Cash generated from operations	20,655	11,238
Interest received	30	45
Interest paid	(4,683)	(4,838)
Income tax paid	(61)	(62)
Net cash generated from operating activities	**15,941**	**6,383**
Cash flows from investing activities		
Purchase of Property and equipment and intangible assets	(1,308)	(807)
Proceeds from disposal of property and equipment	2,960	673
Aircraft deposits	(528)	(311)
Aircraft deposits refunds received	324	2,486
Onerous lease payments	-	(1,023)
Net cash generated from investing activities	**1,448**	**1,018**
Cash flows from financing activities		
Lease payments	(13,805)	-
Repayments of borrowings	(6,859)	(7,301)
Commitment and commission fees paid during the year	(61)	(25)
Net cash used in financing activities	**(20,725)**	**(7,326)**
(Decrease) in cash and cash equivalents	**(3,336)**	**75**
Cash and cash equivalents at beginning of year	**6,431**	**6,356**
Cash and cash equivalents at end of year	**3,095**	**6,431**

The summarised consolidated financial statements of Kenya Airways Plc have been prepared as per the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 (''the Regulations'') as applicable to summary financial statements.

The summarised financial statements are not a substitute to reading the full set of financial statements available on the company website.